

A wave of green government bonds is flooding markets

The benefit may be more political than economic



What are Green Bonds?



- First introduced by the European Investment Fund in 2007 (Climate Awareness Bond) and by World Bank the following year.
- Designed to raise debt finance to fund climate-friendly investment.
- Work a lot like regular bonds.
 - Government or company issue a bond (a promise to repay at a future date with interest) in exchange for money that can be used today to invest in profit-generating businesses.
 - The key difference is that issuer of Green Bonds make a non-binding, voluntary commitment to use the money for “environment-friendly” projects.
- Increased interest from pension funds, sovereign wealth funds, and insurance companies to finance these bonds.

Examples of Green Bonds

- Bonds to fund more fuel-efficient container ships in the global logistics industry
- Investment projects in offshore wind turbines and solar farms
- Telecoms firms issuing bonds to finance upgrade cabling with carbon fiber
- Dutch government use green bonds to help improved flood defence systems

— GREEN BONDS —

MAIN USES



Renewable
energy



Energy
efficiency



Clean
transportation



Responsible
waste management

Recent News on Green Bonds Growth: European Union

Due to global green initiatives (e.g., Paris Agreement and UN Sustainable Development Goals), Green Bonds are rapid growing.

Just 2 weeks ago, the EU issued about \$14 billion of green bonds.

“The money raised will support projects including a research platform for energy transition in Belgium and wind power plants in Lithuania.”

Green bond popularity is evident, with orders exceeding securities available by more than 11 times.



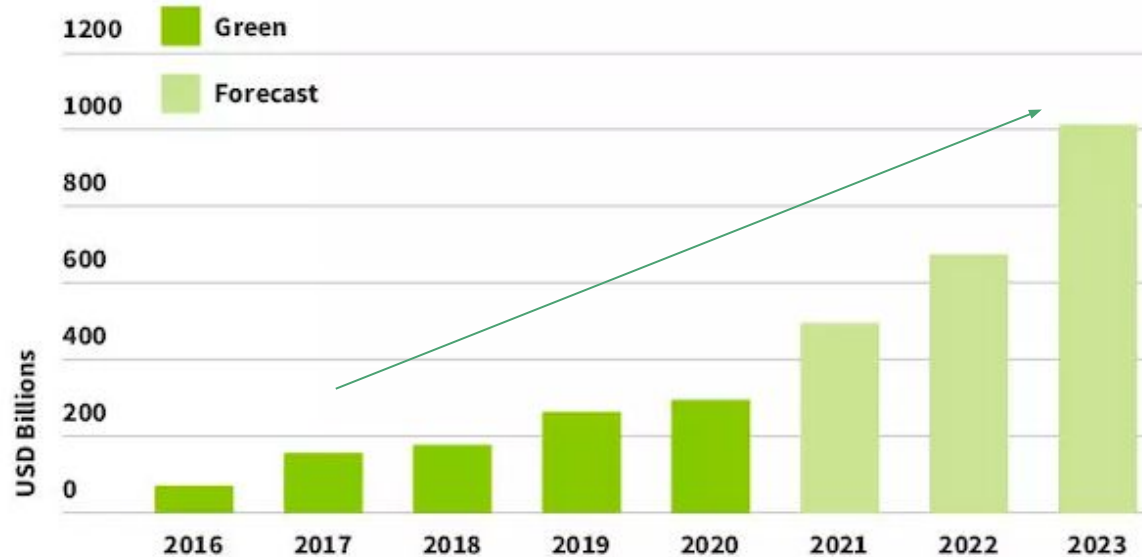
“The EU's intention to issue up to €250 billion in green bonds between now and end-2026 will make us the largest green bond issuer in the world.”

- Johannes Hahn, European Commissioner for Budget and Administration

Annual issuance could hit \$1 trillion in 2023

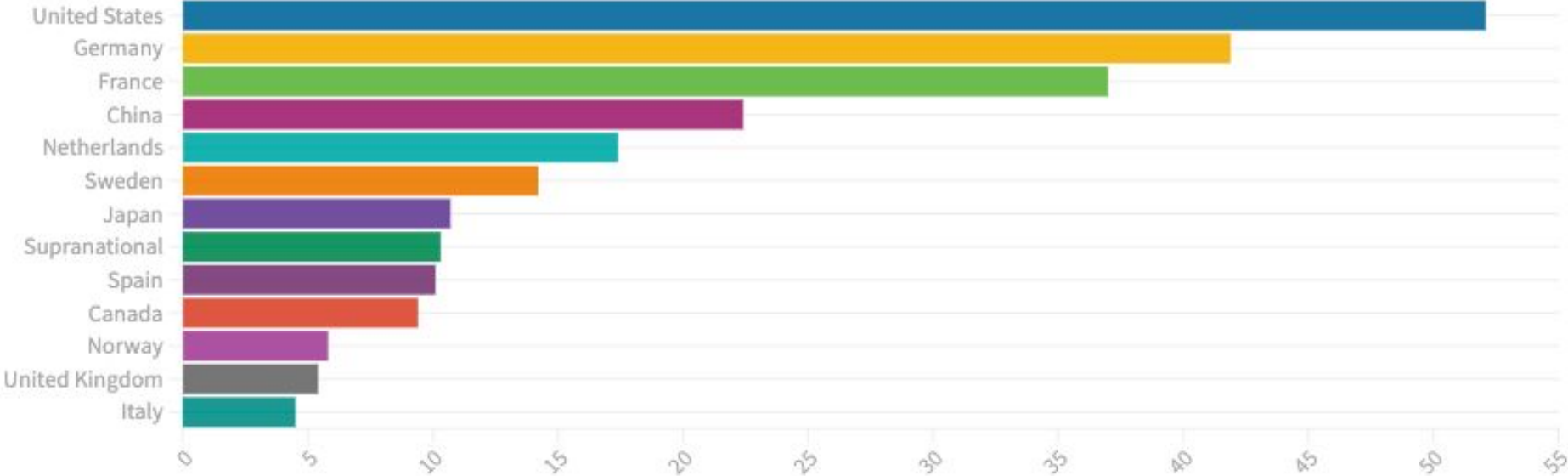
Annual trillion in green bonds possible by 2023

Climate Bonds INITIATIVE



Leading green bonds issuers in 2020

In billion US dollars



Source: Climate Bonds Initiative

Advantages of Green Bonds



- “opportunity to borrow at a lower cost”

The yield demand for green bond is less than for conventional bond.

Investors willing to pay more for these special bonds, taking higher spending as fulfilling “their environmental, social and governance targets”

Help promote a favorable public image for bond issuer

- “commitment device for politicians”

Prevents weakening or reverse of green policies when there’s a shift in governmental power.

Creation of green-bond programs will affect company growth (“green curve”)

Govts cannot easily back out on past policies: afraid to “hurt liquidity and anger investors.”

Concerns of Green Bonds



- Dividing the government bond market, which can harm conventional bonds' value (like Germany in the article)
- Risk of “greenwashing” where firms raising money in bond markets make misleading claims about their green credentials
- Investors may be unwilling to spend for a young, developing market; not accept lower yield of green bonds
- Increased transactions costs – regulatory costs of showing how the money is being used
- Other policy interventions might also be needed (e.g., fiscal policy via carbon taxes, renewable subsidies, tougher environmental regulations)

Discussion QU

Do you think green
government bonds are
legitimate method to promote
sustainability?

Thank you for listening!

Sources

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